ETHER FREE RESOURCES

THE SECOND CODE

EXPOSURE AND RISK

MFE and MAE for engineered stops, break even and trailing mechanics, partials, and the maths that keeps accounts alive: Monte Carlo and Kelly.

By Sires
Ether, the free side of Ethos

Contents

This guide pairs with the video. **Watch it** for the live walkthrough, keep this next to the charts.

Exposure, the number that matters

Exposure is the amount of capital that could be lost if a trade goes against you. The higher the exposure, the higher the potential loss. Limiting it is about controlling how much any single trade can take from you, and protecting profits at logical places while the trade develops.

You cannot control the market. You can always control the exposure.

THE MINDSET

Every technique in this code does one of two things: it removes risk from a live trade, or it converts open profit into locked profit. Nothing here predicts anything.

MFE and MAE

Before you can place stops and targets optimally, you need to know what your trades actually do. Two measurements answer it.

MFE, MAXIMUM FAVOURABLE EXCURSION

The highest profit a trade reaches from entry before it reverses. How much the trade COULD have made at its peak, even if it eventually went against you.

MAE, MAXIMUM ADVERSE EXCURSION

The worst loss the trade reaches from entry before turning. How much heat it took at its lowest point, even if it later moved your way.

THE SAMPLE RULE

Collect 40 to 80 trades, then read the MFE and MAE distributions. Your optimal stop sits beyond where winners typically get their heat, your target sits where winners typically peak. Placement becomes engineering, not vibes.

The three exposure plays

Three plays to cut exposure on a live trade, each with the exact mechanics.

Break even, then move in profit

Enter with a 100 stop and 200 target. Once the trade moves 100 in your favour, stop to entry, risk is now zero. As it keeps going, trail the stop into profit, at plus 100 you can lock plus 50. Only move it where the market could logically return to, identify those spots and step the stop behind them.

The trailing stop

A stop that follows price automatically. If price runs 6 to 10 points your way, trail roughly 3 points behind to protect part of the move while giving the trade room to grow. Protection without strangling it.

Partial exits

Close a portion at planned levels: 50% off at 1 to 1, stop to break even on the rest. Half the profit is banked, the remaining half is a free trade. This is the play that makes runners psychologically possible.

The maths and the tool

Two pieces of maths every serious risk model leans on, and the tool that automates them.

MONTE CARLO SIMULATION

Simulates thousands of possible outcome sequences for your strategy, showing the drawdown and return distribution under randomness. It tells you how bad the bad runs can get, what your strategy survives, and where the risk settings need work.

THE KELLY CRITERION

The formula for the optimal fraction of the account to risk per trade to maximise long term growth while minimising the risk of ruin. Full Kelly is aggressive, fractional Kelly is the practical version.

THE SHORTCUT

The pro version of Sera runs this for you: it tells you how much to risk so you do not hit your drawdown, and keeps that probability very small. **serawave.com**

Expectancy, the only number

None of the mechanics matter if the underlying edge is negative. The one number that decides whether you make money over a sample is expectancy.

Expectancy = (win% x avg win) minus (loss% x avg loss), measured in R.

THINK IN R, NOT DOLLARS

One R is the amount you risked on the trade. A win of plus 2R and a loss of minus 1R are comparable across any account size, and R is the only honest way to grade a system.

POSITIVE EXPECTANCY

If the formula is above zero, the edge makes money over enough trades even with a sub-50% win rate. A 40% win rate at 1 to 3 is a monster.

THE SAMPLE RULES ALL

Expectancy only means something over 100+ trades. Any smaller and you are reading variance, not edge. This is why the codex and the data collection exist.

WHY THIS TIES IT TOGETHER

MFE and MAE set the stop and target, exposure plays protect the open trade, and expectancy tells you whether the whole thing is worth running. Know your expectancy or you are gambling with good manners.

Now cap the downside.

You now have the full exposure toolkit. Inside Ethos, the mentorship, risk is managed exactly like this on every live trade, three sessions a week.

- **Stops from data, not fear**
  40 to 80 trades of MFE and MAE, then engineer the placement.
- **Convert open profit to locked profit**
  Break even, trail, partial. In that order, at logical spots.
- **Know your worst run before it happens**
  Monte Carlo the strategy, size with Kelly in mind.

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